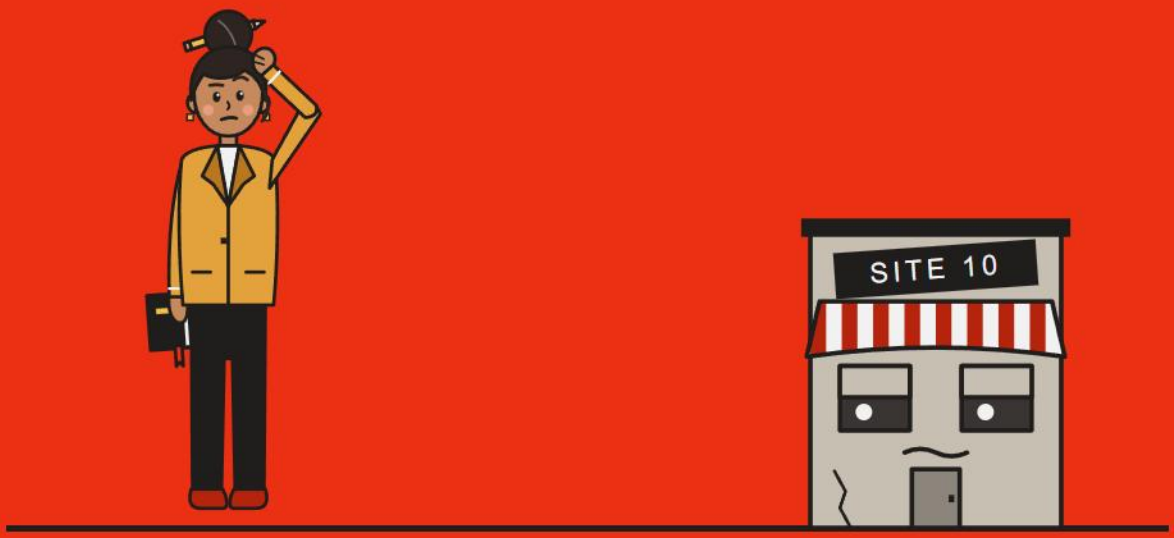
THE OPERATOR'S TOOLKIT · WEDNESDAY 1

What does one site need to break even?

A four-step worksheet. One site, ten minutes, your own numbers.



SWIPE FOR THE STEPS

STEP 1

Add up the fixed costs

Fixed costs stay the same in a quiet week. Use weekly figures.

SITE 10, THE EXAMPLE FROM MONDAY

Core labour	£5,200
Rent and service charge	£2,600
Fixed costs a week	**£7,800**

The test: would this cost fall if next week were quiet? If not, it's fixed.

STEP 2

Find the share that moves with sales

Variable costs as a % of sales: food and drink, packaging, card fees, delivery commission.

SITE 10: SALES £13,000 A WEEK	
Food and drink, £3,900	30.0%
Other variable, £1,600	12.3%
Variable share (£5,500 ÷ £13,000)	**42.3%**

Use this site's own food cost, after waste. Not the brand average.

STEP 3

What each £1 keeps

100% minus the variable share. This is what pays the fixed costs.

100% − 42.3%

= 57.7p

Of every £1 a guest spends at site 10, 57.7p is left to cover rent and the core team. Only after they're covered is anything profit.

STEP 4

Divide the fixed costs by what each £1 keeps

SITE 10

£7,800 ÷ 0.577	£13,520 a week
£13,520 ÷ 7 trading days	£1,931 a day
Actual sales £13,000: short by	£520

Give each manager the daily number. It turns a P&L into a target they can hit today.

Exact: £7,800 ÷ (1 – £5,500/£13,000) = £13,520.

YOUR SITE

Fill it in

A	Fixed costs a week	£ _____
B	Variable share of sales	% _____
C	What each £1 keeps 1 – B	_____
D	Break-even a week A ÷ C	£ _____
E	Your sales a week last 8 weeks' average	£ _____
F	Gap E – D. Negative means below break-even	£ _____
G	Break-even a day D ÷ trading days	£ _____

THREE MISTAKES THAT HIDE A LOSS

1

Treating labour as variable

Most of the rota is there whatever you take. Put the core team in fixed costs.

2

Using the brand's average food cost

One site's waste hides inside a group average. Use each site's own number.

3

Leaving out card fees and commission

They rise with every sale. They belong in the variable share.

RUNNING MORE THAN ONE SITE?

Comment BREAKEVEN for the multi-site version.

Every site side by side, ranked by how far each is from break-even, with each manager's daily number. A spreadsheet that does the maths.

Watch Monday's episode of The Operator's Ledger, "Unit economics", on the WRW Hospitality page.

WRW HOSPITALITY
Wesley Williams

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